

Medical Claims Processing

Standard Operating Procedure

Document Reference	SOP-INS-011
Version	2.3
Effective Date	01 March 2025
Review Date	01 March 2026
Owner	Medical Claims — Claims Operations
Approved By	Chief Claims Officer
Classification	Internal Use Only — Claims Restricted
Applicable To	All medical insurance claims submitted by individual and group policyholders of Meridian Insurance Group

1. Purpose

This SOP defines the end-to-end process for receiving, validating, assessing, and settling medical insurance claims submitted by Meridian policyholders. It establishes controls to ensure that only valid, covered claims are paid at the correct benefit amount, that fraud indicators are identified and investigated, and that claimants receive timely and transparent communication throughout the process.

2. Scope

This procedure applies to:

- All medical claims submitted under individual and group health, hospitalisation, and critical illness policies
- Cashless treatment authorisations and reimbursement claims
- Pre-authorisation requests for scheduled procedures
- Claims adjustments, appeals, and resubmissions

This procedure does NOT cover: property or casualty claims (SOP-INS-012), life insurance claims (SOP-INS-013), or internal employee health benefit claims processed by HR.

3. Roles and Responsibilities

Role	Responsibilities
Medical Claims Processor	Receives and registers claims; conducts initial eligibility and data validation; requests missing documents; processes straightforward claims within authority limit; routes complex claims to Adjuster.
Medical Claims Adjuster	Assesses clinical validity and benefit entitlement for complex claims; liaises with medical providers; applies policy terms, sub-limits, and exclusions; approves or rejects claims within authority.
Claims Manager	Approves claims above adjuster authority threshold; reviews rejection decisions; manages escalations and appeals; oversees claims team performance and portfolio loss ratio.
Medical Advisor (Consulting)	Provides clinical opinion on complex, contested, or high-value claims; advises on treatment necessity and reasonable costs.
Fraud & Special Investigations Unit (SIU)	Reviews claims flagged with fraud indicators; conducts investigation; recommends rejection, recovery, or prosecution referral.

4. Pre-requisites and Triggers

Triggered when a claimant submits a claim via the claims portal, mobile app, claims hotline, or in writing. For cashless treatment, triggered by a pre-authorisation request from the treating facility.

5. Process Steps

5.1 Claim Receipt and Registration

#	Activity	Responsible	Output / Notes
1	Claim received via portal, app, email, or post	Claims Processor / System	Claim ID assigned; date of receipt recorded; acknowledgement sent to claimant within 1 business day
2	Eligibility verification	Claims Processor / PAS	Policy active at date of loss/treatment confirmed; claimant is a covered member; waiting periods checked
3	Document completeness check	Claims Processor	Claim form, medical reports, itemised bills, referral letters, and receipts reviewed; missing items requested with 7-day deadline
4	Claim type determination and routing	Claims Processor	Categorised: routine (auto-assess), complex (adjuster), high-value (manager), suspicious (SIU flag)

5.2 Assessment

#	Activity	Responsible	Output / Notes
5	Policy coverage and benefit limit verification	Claims Processor / Adjuster	Applicable benefit, sub-limit, excess, and co-payment calculated; exclusions checked
6	Clinical review (complex claims)	Medical Claims Adjuster / Medical Advisor	Medical necessity, standard of care, and reasonableness of charges assessed; provider clarification requested if required
7	Fraud screening	Claims System / SIU	Automated scoring; flagged claims reviewed by SIU within 3 business days; investigations may extend settlement timeline
8	Settlement amount calculated	Claims Adjuster / System	Approved amount: covered charges less excess and co-payment; itemised breakdown prepared

5.3 Decision and Settlement

#	Activity	Responsible	Output / Notes
9	Claims decision made and documented	Adjuster / Claims Manager	Approve, partial approve, or reject; decision rationale documented in Claims System
10	Claimant notified of decision	Claims Processor	Settlement letter or rejection notice dispatched within 1 business day of decision; payment amount and timeline stated

#	Activity	Responsible	Output / Notes
11	Payment processed	Finance / Claims System	Payment via direct bank transfer or cheque within 5 business days of approval; remittance advice sent to claimant
12	Claim closed and GL updated	Claims Processor / Finance	Claim status set to 'Settled' or 'Rejected' in Claims System; loss reserve released or adjusted; GL journal posted

6. Decision Points and Exception Handling

6.1 Claim Rejection

- Rejection letter includes specific reason with reference to policy wording clause; issued within 1 business day of decision
- Claimant has 30 calendar days to lodge an appeal with the Claims Manager
- Appeals must be reviewed within 10 business days; outcome communicated in writing

6.2 Suspected Fraud

- SIU takes over the claim file; normal settlement process suspended
- Claimant notified that additional information is required (without disclosing fraud investigation)
- SIU provides investigation report to Claims Manager within 20 business days; Claims Manager determines next action

6.3 Pre-Authorisation Request

- Medical facility submits pre-auth request via provider portal at least 48 hours before scheduled admission
- Claims Adjuster reviews within 4 business hours; approves, queries, or declines
- Approval triggers direct billing arrangement; no cash payment required from policyholder at point of care

6.4 Missing Documents

- Claims Processor sends written request with itemised list of missing items; claimant given 14 calendar days to respond
- At day 14 without response: follow-up notice sent; claim placed on hold for a further 14 days
- At day 28 without response: claim closed as 'Insufficient Documentation'; claimant may reopen within 12 months

7. Systems and Tools

System / Tool	Purpose	Access
Claims Management System (Majesco)	Claim registration, assessment workflow, settlement, and reporting	All Claims roles
Policy Administration System (PAS)	Eligibility verification, benefit limits, policy status	Claims Processor, Adjuster

System / Tool	Purpose	Access
Provider Portal	Cashless pre-authorisation, direct billing, document submission	Medical Facilities, Claims Adjuster
Fraud Detection System	Automated claim scoring, SIU flagging	Automated / SIU
SAP S/4HANA	Payment processing, loss reserve management, GL	Finance, Claims Manager
Medical Advisor Platform (TPA)	Secure clinical document sharing with consulting Medical Advisor	Adjuster, Medical Advisor

8. Key Performance Indicators

- Claims processing cycle time: 90% of straightforward claims settled within 10 business days of complete documentation
- Pre-authorisation response time: 95% of pre-auth requests responded to within 4 business hours
- First-pass accuracy rate: Minimum 92% of claims assessed correctly without requiring rework
- Fraud detection rate: SIU review triggered for minimum 2% of claim submissions based on scoring model
- Claimant satisfaction: Minimum 4.0 out of 5.0 on post-settlement survey
- Claims leakage: Total claims paid not to exceed the actuarially expected loss ratio by more than 3 percentage points

9. Related Documents

- SOP-INS-006: Group Benefits Administration
- SOP-INS-012: Property and Casualty Claims Processing
- POL-CLAIMS-001: Claims Handling Philosophy and Authority Matrix
- POL-COMP-007: Anti-Fraud Policy

10. Document Control and Revision History

Version	Date	Author	Summary of Changes
1.0	01 Jul 2020	G. Tan, Claims	Initial release
2.0	10 Jan 2023	G. Tan, Claims	Migrated to Majesco Claims System; added pre-auth workflow; expanded SIU protocol
2.1	15 Aug 2023	R. Nair, Claims Manager	Updated missing document timelines; added Medical Advisor step for complex claims
2.2	01 Nov 2024	R. Nair, Claims Manager	Enhanced fraud scoring integration; added claimant appeal SLA
2.3	01 Mar 2025	R. Nair, Claims Manager	Added cashless pre-auth sub-steps; updated KPIs for leakage control